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“Financial Feasibility of Luxury Residential Property Acquisition for Rental Investment: A Comparative Analysis of Two Luxury Estates in Laguna”

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Executive Summary

This study evaluates the financial feasibility of acquiring a luxury residential property for rental operations through a comparative financial analysis of two high-end residential properties located in Laguna. The first property is situated along Nuvali Boulevard, Santo Domingo Santa Rosa (Property A), while the second is located along Spine Road within Ayala Greenfield Estates, Maunong, Calamba (Property B). These properties were selected because they represent two distinct luxury residential markets with different economic environments, demand drivers, and investment characteristics.

A standardized financial underwriting methodology was applied to both properties to ensure a consistent basis for comparison. The analysis incorporated projected rental income, operating expenses, financing assumptions, vacancy allowances, cash flow projections, exit valuations, and investment performance metrics over a ten-year holding period. Key indicators such as Net Operating Income (NOI), cash flow before tax, Internal Rate of Return (IRR), equity multiple, cash-on-cash return, and projected net sale proceeds were used to assess each property's financial performance.

The results indicate that both luxury residential properties are financially viable long-term investments under the assumptions used in this study. Both assets demonstrate increasing rental income and operating performance throughout the projection period while generating positive returns at disposition. However, significant differences in investment performance were observed. Property A exhibited stable income growth but experienced prolonged negative cash flows before eventually generating positive annual returns, resulting in a more conservative investment profile. In contrast, Property B demonstrated stronger rental income, earlier positive cash flow generation, higher projected exit value, and substantially better investment return metrics, making it the stronger-performing investment among the two properties.

The comparative analysis highlights that the financial success of luxury residential rental investments depends not only on property value or market prestige but also on the property's ability to generate sustainable income, maintain healthy operating performance, and maximize long-term capital appreciation. These findings emphasize the importance of comprehensive financial analysis when evaluating luxury real estate investments.

Overall, the study concludes that acquiring a luxury residential property for rental operations can be a financially viable investment strategy. However, investment outcomes vary considerably depending on the property's location, income-generating capacity, financing structure, and long-term market potential. Based on the projected financial performance, the property located in Ayala Greenfield Estates presents the more attractive investment opportunity due to its stronger cash flow performance, higher projected returns, and greater long-term profitability.

1.0 Research Purpose

This study aims to determine the financial feasibility of acquiring a luxury home or estate as an investment property for rental purposes. Specifically, it seeks to evaluate whether investing in high-end residential real estate can generate attractive financial returns and serve as a viable long-term investment.

To determine this, the study conducts a comparative financial analysis of two luxury residential properties located in different market environments. The first property is situated in Nuvali Boulevard, Santo Domingo, Santa Rosa, Laguna. A master-planned mixed-use community recognized for its lifestyle-oriented developments, commercial establishments, and growing technology and business presence. The second property is located in *Spine Road, Ayala Greenfield Estates, Maunong, Calamba, Laguna*, an area known for its strong industrial base and economic activity. By selecting properties from two distinct locations with different market characteristics and demand drivers, the study provides a broader assessment of the viability of luxury rental investments rather than relying on a single market segment.

The financial feasibility of each property will be evaluated using key investment metrics, including projected rental income, operating expenses, cash flows, return on investment, internal rate of return (IRR), and other relevant financial indicators. The results of the comparative analysis will identify which property offers stronger investment potential and provide insights into the factors that contribute to the success of luxury residential rental investments in different economic settings.

2.0 Property Profile:

For picking properties we will compare, we decided to keep both specifications similar. But differing in both architectural style and architectural concept. For our first property located in *Nuvali Boulevard, Santo Domingo, Santa Rosa, Laguna*. Emphasizing green living with its modern tropical contemporary aesthetics featuring a cool, shady and homey warm facade from its warm wood tone eaves contrasting to the matte charcoal trim. And elevated stepping slab ensures you don't have to worry about muddy, and wet ground when it rains. Inside it features two grand master bedrooms, two spacious secondary bedrooms and one guest room. With four en-suite restrooms along side a grand lavatory just a side your ample living room featuring a floor-to-ceiling glazing for maximizing natural light penetration adding more on the green, eco ambiance. This 603sqm masterpiece is hosted beautifully in your vast 405sqm lot area.

As for our next property.

this is located in *Spine Road, Ayala Greenfield Estates, Maunong, Calamba, Laguna*. Evoking a classical asian zen aesthetics, when seeing up front you will be greeted by the heavy greenery enclave contrasting with the off white grand stucco wall. Along side it is a sub-level basement carport. Going deeper, you will met by a warm cozy toned pivot door being shaded by its generous eaves complimented by warm timber louvers. Continuing inside, it is appointed with 2 master bedrooms and four secondary spacious bedrooms along with their individual restrooms. This grand estate boasts a total of 718sqm of floor area sitting in the beautifully created greenscape featuring palm trees, plumeria, and african talisays all within your 504sqm lot area.

3.0 Locational Profile:

Accessibility

The subject asset, situated along Nuvali Boulevard within Barangay Santo Domingo, City of Santa Rosa, Laguna, occupies a primary position within Ayala Land's 2,400-hectare master-planned eco-city infrastructure. From an institutional underwriting perspective, this location represents a highly securitized, high-density growth node within the CALABARZON corridor, contrasting sharply with traditional, unmanaged provincial submarkets. The site benefits from diversified macro-connectivity, relying on immediate linkages to the Cavite-Laguna Expressway (CALAX) and multiple South Luzon Expressway (SLEX) arterial exits, which mitigates regional transit friction and dampens localized logistics risks. However, the asset faces acute exposure to escalating systemic traffic bottlenecks during peak commuting hours along the primary Santa Rosa-Tagaytay road vein, a factor that requires long-term discounting models for logistical efficiency. Demographically, the immediate catchment area exhibits a robust, resilient middle-to-high-income profile fueled by an influx of corporate professionals, tech-sector employees, and industrial estate expatriates.

While this creates a stable floor for consumer spending and commercial absorption, it also exposes the asset's performance to macroeconomic cyclicity, specifically the volatility of foreign direct investments inside the nearby Lakeside Evozone and surrounding industrial parks. Commercial risk along Nuvali Boulevard is partially offset by dense institutional anchoring, including established retail infrastructures like Ayala Malls Solenad, the upcoming SM Nuvali commercial footprint, and educational centers such as Xavier School Nuvali. This clustering effect ensures constant foot traffic and strong structural liquidity, yet it simultaneously introduces intense localized competition that threatens to dilute retail margins and push vacancy rates upward if commercial supply outpaces regional demand over the next 3 to 5 years. Furthermore, while the planned Santa Rosa Civic Complex within the estate boundary projects strong long-term civic stabilization, investors must account for bureaucratic implementation delays typical of large-scale public-private integrations. From a structural safety standpoint, the master-planned nature of the estate provides robust protection against the localized, low-tier flooding prevalent in legacy zones of Santa Rosa, courtesy of integrated retention lakes and strict

green-space quotas. Nevertheless, the strict eco-centric zoning ordinances and mandatory underground utility mandates impose rigid design constraints and elevated initial capital expenditure requirements on developers. Ultimately, while the asset commands a premium valuation over neighboring un-managed districts, institutional buyers must factor in a compressed initial cap rate of approximately 5.0 to 6.5 percent, treating this location as a high-cost, core stabilization play that requires sustained population growth to justify peak-market entry pricing.

For our second subject site, located along Spine Road within the 350-hectare Ayala Greenfield Estates in Barangay Maunong, Calamba, Laguna, represents a low-density, high-end residential asset category situated in the Southern Luzon growth node. From an institutional investment risk perspective, the location operates as a specialized luxury suburban enclave rather than a diversified transit-oriented development, creating specific capital allocation trade-offs. The site's positioning at elevations reaching up to 315 meters above sea level along the foothills of Mount Makiling provides structural insulation from the chronic low-tier flooding observed in the low-lying Laguna de Bay plains.

However, this topographically rolling terrain presents immediate capital expenditure risks, as severe slopes necessitate specialized civil engineering, increased retaining wall expenditures, and strict adherence to structural safety mandates to mitigate soil erosion risks during peak monsoon seasons. Access to the asset remains a concentrated risk bottleneck, as the enclave is historically dependent on the South Luzon Expressway (SLEX) Batangas Exit, exposing the asset's valuation to the severe macro-traffic congestion of the Calamba commercial core. While structural connectivity is projected to improve due to the joint venture between San Miguel Corporation and Ayala Greenfield Development Corporation for the construction of the dedicated Ayala Greenfield Interchange connecting directly to SLEX Toll Road 3 (TR3), investors must underwrite a construction completion risk delay beyond the initial target timelines. Demographically, the catchment pool is narrow, relying entirely on high-net-worth individuals and senior corporate executives looking for secondary homes or low-liquidity land banking assets, which compresses the immediate exit-liquidity profile of the property compared to standard mixed-use urban assets.

The localized economy is heavily tethered to the performance of the CALABARZON industrial estates, meaning any macroeconomic downturn in manufacturing or foreign direct investment into the nearby industrial parks will directly stall secondary market demand. Commercial infrastructure inside the immediate perimeter is intentionally restricted to maintain low-density covenants, which forces residents to travel approximately 20 to 25 kilometers to Nuvali or central Calamba for premium medical, retail, and tertiary corporate services. Long-term asset appreciation is heavily reliant on the preservation of the surrounding ecosystem,

including the 18-hole championship golf course, meaning any municipal zoning changes outside the estate lines that introduce heavy industrial or low-cost residential projects will dilute the asset's premium positioning. Consequently, institutional underwriters must discount short-term rental yield expectations to near zero percent, categorizing this asset strictly as a long-horizon capital preservation play with an expected holding period of at least 10 to 15 years to realize optimal capital gains.

4.0 Financial analysis

4.1 Methodology

The financial analysis for both subject properties follows the same underwriting methodology to ensure that the results are directly comparable. Revenue projections were developed using a comparable listing approach, where active market listings with similar location, size, and property characteristics were reviewed. Rental rates were standardized on a per-square-meter basis and then applied to the rentable area of each property to estimate Gross Potential Rent.

A 10-year pro forma was prepared for each property using consistent forecasting assumptions. Rental income was projected to increase by 5.0% annually, while operating expenses were assumed to grow by 4.0% per year. Vacancy allowances were incorporated to reflect expected leasing risk, with a stabilized vacancy rate of 5.0% for the Santa Rosa property and 10.0% for the Calamba property. Both analyses assumed a 10-year holding period, with terminal values estimated using each property's respective exit capitalization rate and a 6.0% disposition cost upon sale.

Although the methodology follows common real estate financial analysis practices, the projections remain dependent on the underlying assumptions. Changes in market conditions, economic performance, taxation, or local regulations may affect the actual investment outcome. Nevertheless, applying the same analytical framework to both properties provides a consistent basis for comparing their financial performance.

Financial Assumptions:

4.2 Property A - *Nuvali Boulevard, Santo Domingo, Santa Rosa, Laguna*

Property A, located along Nuvali Boulevard, Santo Domingo, Santa Rosa, Laguna, is acquired at a purchase price of ₱57,000,000 for one unit with a total rentable area of 6,490 square feet, resulting in a price of ₱8,783 per square foot. Closing costs are estimated at 3%, equivalent to ₱1,710,000, bringing the total acquisition cost to ₱58,710,000. The acquisition is financed using a 70% loan-to-value (LTV) ratio, with a loan amount of ₱39,900,000 and an

equity investment of ₱19,410,000. The financing assumes an interest rate of 5.50%, a 30-year amortization period, and a 2-year interest-only period, resulting in an annual debt service of ₱2,194,500. The investment projections assume an annual rent growth rate of 5.0%, annual expense inflation of 4.0%, and a stabilized vacancy rate of 5.0%. For the exit strategy, the property is expected to be held for 10 years, with an assumed 3.11% exit capitalization rate and 6.0% disposition costs upon sale.

4.3 Property B - *Spine Road, Ayala Greenfield Estates, Maunong, Calamba, Laguna*

Property B, situated along Spine Road, Ayala Greenfield Estates, Maunong, Calamba, Laguna, has a purchase price of ₱60,000,000 for one unit with a total rentable area of 7,729 square feet, resulting in a price of ₱7,763 per square foot. Closing costs are estimated at 3%, amounting to ₱1,800,000, for a total acquisition cost of ₱61,800,000. The acquisition is financed with a 70% loan-to-value (LTV) ratio, corresponding to a loan amount of ₱42,000,000 and an equity requirement of ₱20,400,000. The financing assumptions include an interest rate of 5.50%, a 30-year amortization period, and a 2-year interest-only period, resulting in an annual debt service of ₱2,310,000. The financial projections assume an annual rent growth rate of 5.0%, annual expense inflation of 4.0%, and a stabilized vacancy rate of 10.0%. The exit assumptions include a 10-year holding period, a projected 2.30% exit capitalization rate, and 6.0% disposition costs at the time of sale.

4.4 Property A - : 10-Year Projection Analysis

The 10-year cash flow projection for Property A indicates a steady increase in rental performance over the holding period. Gross Potential Rent is projected to grow from ₱2,352,000 in Year 1 to ₱3,648,724 in Year 10, reflecting the assumed annual rent growth of 5%. Renovation income begins at ₱52,500 in Year 2 and increases to ₱105,000 annually from Year 3 onward, while no loss to lease, concessions, or other income is assumed. After accounting for a 5% vacancy and credit loss, Effective Gross Income increases from ₱2,234,400 in Year 1 to ₱3,566,038 in Year 10. Operating expenses also rise gradually from ₱601,376 to ₱855,946 over the projection period due to expense inflation.

Net Operating Income (NOI) is projected to increase consistently from ₱1,633,024 in Year 1 to ₱2,710,092 in Year 10. However, because the annual debt service remains constant at ₱2,194,500, the property generates negative cash flow before tax during the first five years, ranging from ₱561,476 in Year 1 to ₱82,348 in Year 5. Positive cash flow begins in Year 6 at ₱25,308 and continues to improve each year, reaching ₱515,592 by Year 10. Despite this improvement, the cumulative cash flow remains negative throughout the holding period, ending at ₱213,267 below break-even by the end of Year 10.

4.5 Property B: 10-Year Projection Analysis

The 10-year cash flow projection for Property B also demonstrates continuous growth in operating performance. Gross Potential Rent increases from ₱3,204,000 in Year 1 to ₱4,970,456 in Year 10 based on the assumed annual rent growth of 5%. Similar to Property A, renovation income begins at ₱52,500 in Year 2 and stabilizes at ₱105,000 annually from Year 3 onward, with no projected loss to lease, concessions, or other income. After accounting for the assumed 10% vacancy and credit loss, Effective Gross Income grows from ₱2,883,600 in Year 1 to ₱4,567,910 in Year 10. Operating expenses increase gradually from ₱762,344 in Year 1 to ₱1,085,053 in Year 10.

Net Operating Income is projected to increase from ₱2,121,256 in Year 1 to ₱3,482,857 in Year 10. After deducting the fixed annual debt service of ₱2,310,000, cash flow before tax is negative only during the first two years, amounting to ₱188,744 in Year 1 and ₱27,808 in Year 2. Beginning in Year 3, the property generates positive cash flow of ₱139,118, which continues to increase each year and reaches ₱1,172,857 by Year 10. As a result, cumulative cash flow becomes positive in Year 4 and continues to grow substantially, reaching ₱4,820,077 by the end of the 10-year holding period.

4.6 Comparison

Both properties are projected to experience steady growth in rental income, effective gross income, and net operating income over the 10-year holding period as a result of the assumed annual rent growth and controlled expense inflation. However, their cash flow performance differs considerably because of differences in rental income, vacancy assumptions, and operating results.

Property A benefits from a lower stabilized vacancy rate of 5%, but its lower rental income results in Net Operating Income that remains below the annual debt service for the first five years. Consequently, the property does not generate positive annual cash flow until Year 6 and still records a negative cumulative cash flow of ₱213,267 by the end of Year 10. This suggests that investors may need to contribute additional capital during the early years before the investment begins producing positive annual returns.

In contrast, Property B assumes a higher stabilized vacancy rate of 10%, yet its significantly higher rental income produces stronger operating performance throughout the projection period. Although the property experiences negative cash flow during the first two years, it generates positive annual cash flow beginning in Year 3 and achieves positive cumulative cash flow by Year 4. By the end of the holding period, cumulative cash flow reaches ₱4,820,077, indicating a stronger cash-generating capability over time.

Overall, the projections suggest that Property B offers stronger long-term cash flow performance despite its higher vacancy assumption. Property A demonstrates stable operating growth but requires a longer recovery period before generating meaningful cash returns. For

investors primarily focused on cash flow generation and earlier recovery of invested capital, Property B appears to provide a more favorable financial outlook under the given assumptions.

4.7 Property A Exit Analysis

Property A requires a total equity investment of ₱19,410,000 and is assumed to be held for 10 years. The investment is acquired at an entry capitalization rate of 2.86% and is projected to be sold at an exit capitalization rate of 3.11%. Based on the projected Year 10 Net Operating Income of ₱2,710,092, the estimated sale price is ₱87,141,228. After deducting 6% disposition costs amounting to ₱5,228,474 and the remaining loan payoff of ₱39,900,000, the projected net sale proceeds equal ₱42,012,755.

The levered cash flow analysis shows an initial equity investment of ₱19,410,000, followed by negative operating cash flows during the early years before the property generates its projected net sale proceeds. On an unlevered basis, the total initial investment is ₱59,310,000, with annual Net Operating Income increasing over time and a projected net sale value of ₱81,912,755 at disposition. Based on these assumptions, the investment generates a levered internal rate of return (IRR) of 15.4%, an unlevered IRR of 9.5%, and an equity multiple of 2.09x. The projected cash-on-cash return is -2.9% in the first year, with an average cash-on-cash return of -1.6% over the analyzed period. The sensitivity analysis indicates that Property A's equity multiple declines under higher exit capitalization rates and lower rent growth assumptions, reflecting greater sensitivity to less favorable market conditions.

4.8 Property B Exit Analysis

Property B requires an initial equity investment of ₱20,400,000 and is also projected to be held for 10 years. The investment assumes an entry capitalization rate of 3.54% and an exit capitalization rate of 2.30%. With a projected Year 10 Net Operating Income of ₱3,482,857, the estimated sale price reaches ₱151,428,558. After deducting ₱9,085,713 in disposition costs and a remaining loan payoff of ₱42,000,000, the projected net sale proceeds amount to ₱100,342,844.

The levered cash flow analysis consists of an initial equity investment of ₱20,400,000, followed by improving operating cash flows and the projected net sale proceeds upon disposition. Under the unlevered analysis, the total investment is ₱62,400,000, while increasing annual Net Operating Income and a projected net sale value of ₱142,342,844 contribute to the overall investment return. The projected performance results in a levered IRR of 37.6%, an unlevered IRR of 20.8%, and an equity multiple of 4.95x. The investment records a first-year cash-on-cash return of -0.9% and an average cash-on-cash return of 0.6%. The sensitivity analysis shows that Property B maintains positive equity multiples under several combinations of rent growth and exit capitalization rates, suggesting stronger resilience across different market scenarios.

4.9 Comparison of Exit Analysis

The exit analysis demonstrates notable differences in the projected investment performance of the two properties. While both investments assume a 10-year holding period and use similar financing structures, Property B produces substantially stronger financial returns than Property A.

Property A generates an estimated net sale proceeds of ₱42,012,755, compared with ₱100,342,844 for Property B. This difference is largely driven by Property B's higher projected Year 10 Net Operating Income and significantly higher estimated sale price. Property B also outperforms Property A across the primary investment performance indicators, recording a levered IRR of 37.6% versus 15.4%, an unlevered IRR of 20.8% versus 9.5%, and an equity multiple of 4.95x compared with 2.09x.

Cash-on-cash returns also favor Property B. Although both properties experience negative returns during the first year, Property B records a smaller first-year loss and achieves a positive average cash-on-cash return of 0.6%, whereas Property A maintains an average negative cash-on-cash return of -1.6%. In addition, the sensitivity analysis suggests that Property B is more resilient under varying assumptions for rent growth and exit capitalization rates, while Property A's equity multiple declines more significantly as market conditions become less favorable.

Based on the projected results, Property B offers stronger overall investment performance, higher potential returns, and greater resilience to changes in market assumptions. Property A still provides positive long-term returns but appears to offer a more conservative investment profile with lower return potential. For investors seeking higher capital appreciation and stronger overall financial performance under the given assumptions, Property B represents the more attractive investment opportunity.

4.10 Returns

The projected investment returns indicate that both Property A and Property B have the potential to generate positive long-term returns over the 10-year holding period; however, the magnitude of these returns differs significantly. Property A requires an initial equity investment of ₱19,410,000 and is projected to achieve a levered Internal Rate of Return (IRR) of 15.4%, an unlevered IRR of 9.5%, and an equity multiple of 2.09x. In comparison, Property B requires a slightly higher equity investment of ₱20,400,000, yet it is projected to deliver substantially stronger returns with a levered IRR of 37.6%, an unlevered IRR of 20.8%, and an equity multiple of 4.95x.

The cash-on-cash return projections further distinguish the two investments. Property A records a first-year cash-on-cash return of -2.9% and an average cash-on-cash return of -1.6%, indicating that investors are expected to experience negative cash returns during much of the investment period. On the other hand, Property B records a smaller first-year cash-on-cash return of -0.9% and an average cash-on-cash return of 0.6%, reflecting an earlier transition to positive cash generation.

Overall, the projected return metrics consistently favor Property B. Its higher Internal Rate of Return, larger equity multiple, stronger cash-on-cash performance, and greater net sale proceeds indicate a higher potential for both capital appreciation and income generation over the holding period. Property A, while still capable of producing positive long-term returns, offers more moderate performance and a longer period before investors realize meaningful cash returns. Based on these projections, investors seeking stronger overall financial performance and faster growth of invested capital may find Property B to be the more attractive investment, whereas Property A may appeal to investors who are comfortable with lower but relatively stable long-term returns under the given assumptions.

5.0 Research Conclusion

The findings of this study indicate that the acquisition of a luxury residential property for rental operations can be financially viable when supported by favorable market conditions, appropriate financing structures, and strong long-term investment fundamentals. Based on the comparative financial analysis conducted, both properties demonstrate the ability to generate increasing rental income, growing net operating income, and positive long-term investment returns over the projected holding period. These results suggest that luxury residential real estate has the potential to function as a sustainable income-producing asset while also offering opportunities for capital appreciation through property value growth.

However, the analysis also demonstrates that financial viability is highly dependent on the characteristics of the property and its market environment. Although Property A benefits from a lower vacancy assumption and stable operating growth, its cash flows remain constrained during much of the holding period due to lower operating income relative to debt service. As a result, investors would need to sustain negative cash flows during the early years before realizing positive annual returns. While the investment ultimately produces favorable exit proceeds and acceptable long-term returns, it represents a more conservative investment profile that requires greater patience before meaningful financial benefits are achieved.

In comparison, Property B exhibits significantly stronger financial performance throughout the analysis. Despite assuming a higher vacancy rate, the property's higher rental income, stronger net operating income, earlier positive cash flow generation, larger projected sale proceeds, and superior return metrics indicate a more attractive investment opportunity. The

financial projections further show that Property B is more resilient under varying market assumptions, suggesting greater capacity to withstand changes in rental growth or capitalization rates while maintaining favorable investment performance.

Overall, the comparative analysis demonstrates that not all luxury residential properties provide the same level of financial attractiveness. Factors such as rental demand, operating performance, financing structure, and exit value substantially influence investment outcomes. Therefore, investment decisions should not be based solely on the prestige or market value of a luxury property but should instead rely on comprehensive financial analysis that evaluates projected cash flows, operating income, financing costs, and expected investment returns.

In conclusion, the acquisition of luxury residential property for rental operations is financially viable under the assumptions used in this study. Nevertheless, the degree of profitability depends largely on selecting a property with stronger income-generating potential and favorable long-term market characteristics. Among the two properties analyzed, Property B demonstrates superior financial performance and offers the stronger investment opportunity based on its projected cash flow, exit value, and overall investment returns.

In simple terms, this study concludes that buying a luxury home for rental purposes can be a profitable long-term investment, but success depends on choosing the right property. A luxury home alone does not guarantee strong returns. Investors should prioritize properties with stronger rental demand, better cash flow potential, and greater long-term appreciation, as these factors have a much greater impact on investment success than the property's prestige or price alone.

APPENDIX A

Financial Spreadsheet Data - Property A | Nuvali Boulevard, Santo Domingo, Santa Rosa, Laguna.

10-year financial projection

Nuvali Boulevard, Santo Domingo, Santa Rosa, Laguna										
	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
Gross Potential Rent (Market)	Php2,352,000	Php2,469,600	Php2,593,080	Php2,722,734	Php2,858,871	Php3,001,814	Php3,151,905	Php3,309,500	Php3,474,975	Php3,648,724
Less: Loss to Lease	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0
Less: Concessions	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0
Renovation Income	Php0	Php52,500	Php105,000	Php105,000	Php105,000	Php105,000	Php105,000	Php105,000	Php105,000	Php105,000
Other Income	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0
Less: Vacancy & Credit Loss	-Php117,600	-Php126,105	-Php134,904	-Php141,387	-Php148,194	-Php155,341	-Php162,845	-Php170,725	-Php178,999	-Php187,686
Effective Gross Income	Php2,234,400	Php2,395,995	Php2,563,176	Php2,686,347	Php2,815,677	Php2,951,474	Php3,094,060	Php3,243,775	Php3,400,976	Php3,566,038
Total Operating Expenses	-Php601,376	-Php625,431	-Php650,448	-Php676,466	-Php703,525	-Php731,666	-Php760,932	-Php791,370	-Php823,025	-Php855,946
NET OPERATING INCOME	Php1,633,024	Php1,770,564	Php1,912,728	Php2,009,881	Php2,112,152	Php2,219,808	Php2,333,127	Php2,452,405	Php2,577,952	Php2,710,092
Less: Debt Service	-Php2,194,500	-Php2,194,500	-Php2,194,500	-Php2,194,500	-Php2,194,500	-Php2,194,500	-Php2,194,500	-Php2,194,500	-Php2,194,500	-Php2,194,500
CASH FLOW BEFORE TAX	-Php561,476	-Php423,936	-Php281,772	-Php184,619	-Php82,348	Php25,308	Php138,627	Php257,905	Php383,452	Php515,592
Cumulative Cash Flow	-Php561,476	-Php985,412	-Php1,267,184	-Php1,451,803	-Php1,534,151	-Php1,508,843	-Php1,370,216	-Php1,112,311	-Php728,859	-Php213,267

Table A1

Returns & sensitivity

INVESTMENT SUMMARY						
Total Equity Invested	Php19,410,000					
Hold Period (Years)	10					
Entry Cap Rate	2.86%					
Exit Cap Rate	3.11%					

EXIT ANALYSIS						
Exit Year NOI	Php2,710,092					
Sale Price (NOI / Exit Cap)	Php87,141,228					
Less: Disposition Costs	-Php5,228,474					
Less: Loan Payoff	-Php39,900,000					
Net Sale Proceeds	Php42,012,755					

LEVERED CASH FLOWS						
	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Equity Invested	-Php19,410,000	Php0	Php0	Php0	Php0	Php0
Operating Cash Flow	Php0	-Php561,476	-Php423,936	-Php281,772	-Php184,619	-Php82,348
Net Sale Proceeds	Php0	Php0	Php0	Php0	Php0	Php42,012,755
Total Cash Flow	-Php19,410,000	-Php561,476	-Php423,936	-Php281,772	-Php184,619	Php41,930,407

UNLEVERED	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Total Investment	-Php59,310,000	Php0	Php0	Php0	Php0	Php0
NOI	Php0	Php1,633,024	Php1,770,564	Php1,912,728	Php2,009,881	Php2,112,152
Net Sale (No Debt)	Php0	Php0	Php0	Php0	Php0	Php81,912,755
Total Unlevered CF	-Php59,310,000	Php1,633,024	Php1,770,564	Php1,912,728	Php2,009,881	Php84,024,907

RETURN METRICS	
Levered IRR	15.4%
Unlevered IRR	9.5%
Equity Multiple	2.09x
Cash-on-Cash (Year 1)	-2.9%
Avg Cash-on-Cash	-1.6%

SENSITIVITY: EQUITY MULTIPLE					
Exit Cap \ Rent Growth	1.0%	2.0%	3.0%	4.0%	5.0%
4.50%	-0.33x	-0.22x	-0.10x	0.02x	0.14x
5.00%	-0.52x	-0.41x	-0.31x	-0.20x	-0.09x
5.50%	-0.67x	-0.57x	-0.48x	-0.38x	-0.27x
6.00%	-0.79x	-0.71x	-0.62x	-0.52x	-0.43x
6.50%	-0.90x	-0.82x	-0.74x	-0.65x	-0.56x

Table A2

Appendix B Financial Spreadsheet Data - Property B | Spine Road, Ayala Greenfield Estates, Maunong, Calamba, Laguna.

10-year financial projection

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
Gross Potential Rent (Market)	Php3,204,000	Php3,364,200	Php3,532,410	Php3,709,031	Php3,894,482	Php4,089,206	Php4,293,666	Php4,508,350	Php4,733,767	Php4,970,456
Less: Loss to Lease	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0
Less: Concessions	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0
Renovation Income	Php0	Php52,500	Php105,000	Php105,000	Php105,000	Php105,000	Php105,000	Php105,000	Php105,000	Php105,000
Other Income	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0	Php0
Less: Vacancy & Credit Loss	-Php320,400	-Php341,670	-Php363,741	-Php381,403	-Php399,948	-Php419,421	-Php439,867	-Php461,335	-Php483,877	-Php507,546
Effective Gross Income	Php2,883,600	Php3,075,030	Php3,273,669	Php3,432,627	Php3,599,534	Php3,774,786	Php3,958,800	Php4,152,015	Php4,354,891	Php4,567,910
Total Operating Expenses	-Php762,344	-Php792,838	-Php824,551	-Php857,533	-Php891,835	-Php927,508	-Php964,608	-Php1,003,193	-Php1,043,320	-Php1,085,053
NET OPERATING INCOME	Php2,121,256	Php2,282,192	Php2,449,118	Php2,575,094	Php2,707,699	Php2,847,277	Php2,994,191	Php3,148,822	Php3,311,570	Php3,482,857
Less: Debt Service	-Php2,310,000	-Php2,310,000	-Php2,310,000	-Php2,310,000	-Php2,310,000	-Php2,310,000	-Php2,310,000	-Php2,310,000	-Php2,310,000	-Php2,310,000
CASH FLOW BEFORE TAX	-Php188,744	-Php27,808	Php139,118	Php265,094	Php397,699	Php537,277	Php684,191	Php838,822	Php1,001,570	Php1,172,857
Cumulative Cash Flow	-Php188,744	-Php216,552	-Php77,434	Php187,660	Php585,359	Php1,122,637	Php1,806,828	Php2,645,650	Php3,647,220	Php4,820,077

Table B1

Returns & analysis

INVESTMENT SUMMARY						
Total Equity Invested	Php20,400,000					
Hold Period (Years)	10					
Entry Cap Rate	3.54%					
Exit Cap Rate	2.30%					
EXIT ANALYSIS						
Exit Year NOI	Php3,482,857					
Sale Price (NOI / Exit Cap)	Php151,428,558					
Less: Disposition Costs	-Php9,085,713					
Less: Loan Payoff	-Php42,000,000					
Net Sale Proceeds	Php100,342,844					
LEVERED CASH FLOWS						
	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Equity Invested	-Php20,400,000	Php0	Php0	Php0	Php0	Php0
Operating Cash Flow	Php0	-Php188,744	-Php27,808	Php139,118	Php265,094	Php397,699
Net Sale Proceeds	Php0	Php0	Php0	Php0	Php0	Php100,342,844
Total Cash Flow	-Php20,400,000	-Php188,744	-Php27,808	Php139,118	Php265,094	Php100,740,545
	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
UNLEVERED						
Total Investment	-Php62,400,000	Php0	Php0	Php0	Php0	Php0
NOI	Php0	Php2,121,256	Php2,282,192	Php2,449,118	Php2,575,094	Php2,707,699
Net Sale (No Debt)	Php0	Php0	Php0	Php0	Php0	Php142,342,844
Total Unlevered CF	-Php62,400,000	Php2,121,256	Php2,282,192	Php2,449,118	Php2,575,094	Php145,050,546
RETURN METRICS						
Levered IRR	37.6%					
Unlevered IRR	20.8%					
Equity Multiple	4.95x					
Cash-on-Cash (Year 1)	-0.9%					
Avg Cash-on-Cash	0.6%					
SENSITIVITY: EQUITY MULTIPLE						
Exit Cap \ Rent Growth	1.0%	2.0%	3.0%	4.0%	5.0%	
4.50%	0.17x	0.30x	0.45x	0.59x	0.74x	
5.00%	-0.06x	0.07x	0.20x	0.33x	0.47x	
5.50%	-0.24x	-0.13x	-0.01x	0.11x	0.24x	
6.00%	-0.40x	-0.29x	-0.18x	-0.07x	0.05x	
6.50%	-0.53x	-0.43x	-0.33x	-0.22x	-0.11x	

Table B2

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